Research seminar

Looking for the Twin Deficits in a Dollarized Oil-Exporting Economy

Fiscal shocks, external balance, and oil revenue

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The empirical problem

- Dollarization changes the transmission of fiscal shocks.
- Oil revenues move with fiscal space and external accounts.
- The object of interest is whether fiscal deficits weaken the trade balance.

Dollarized
No nominal exchange-rate adjustment

Oil exporter
Fiscal and external shocks interact

Twin deficits
Trade balance response is the test

Takeaway. The identification problem is fiscal policy in an oil-linked external sector.

Bayesian VAR with sign restrictions

Reduced form

$$y_t = A_1 y_{t-1} + \cdots + A_p y_{t-p} + u_t, \qquad u_t \sim N(0, \Sigma).$$

Priors

Minnesota-style shrinkage for macroeconomic dynamics.

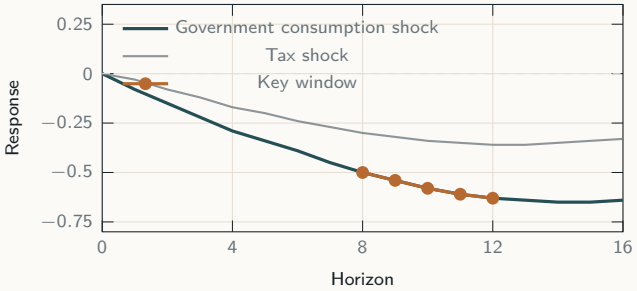
Identification

Sign restrictions separate fiscal and oil revenue shocks.

Target

Trade balance and real exchange-rate responses.

Fiscal deficits weaken external balance



- The trade balance deteriorates after expansionary fiscal shocks.
- The response is strongest after the medium horizon.
- Oil revenue shocks complicate the interpretation of external adjustment.

Takeaway. Copper should identify the one result the audience should remember.

What the result means

Measurement	Policy	Communication
Model fiscal shocks separately from oil-linked revenue movements.	External balance constraints matter even without nominal exchange-rate adjustment.	The empirical contribution is not a generic VAR, but the institutional setting.

Aubergine for structure. **Teal** for estimates. **Copper** for the result.